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CHAPTER 1

Neoliberal Institutionalism: A Perspective on World Politics

Even those observers of contemporary world politics who have emphasized the importance of transnational relations agree that "states have been and remain the most important actors in world affairs" (Keohane and Nye, 1972:xxiv). Furthermore, they recognize that international systems are decentralized: "Formally, each is the equal of all the others. None is entitled to command; none is required to obey" (Waltz, 1979:88). Although the term "anarchy" is loaded and potentially misleading because of its associations with chaos and disorder, it characterizes world politics in the sense that world politics lacks a common government (Axelrod and Keohane, 1985:226). "In the absence of agents with system-wide authority, formal relations of super- and subordination fail to develop" (Waltz, 1979:88).

Yet it is also generally agreed that anarchy implies neither an absence of pattern nor perpetual warfare: "world government, although not reliably peaceful, falls short of unrelieved chaos" (Waltz, 1979:114). It would not be true to say of Europe in 1988 what Hobbes declared in 1651: "Persons of sovereign authority, because of their independency, are in continual jealousies and in the state and posture of gladiators, having their weapons pointing and their eyes fixed on one another—that is, their forts, garrisons, and guns upon the frontiers of their kingdoms, and continual spies upon their neighbors—which is a posture of war" (Hobbes, 1651/1958:108, Part 1, Ch. 13). Kenneth Waltz acknowledges that "world politics, although not formally organized, is not entirely without institutions and orderly procedures" (Waltz, 1979:114).

To understand world politics, we must keep in mind both decentralization and institutionalization. It is not just that international politics is "flecked with particles of government," as Waltz (1979:114) acknowledges; more fundamentally, it is *institutionalized*. That is, much behavior is recognized by participants as reflecting established rules, norms, and conventions, and its meaning is interpreted in light of these understandings. Such matters as diplomatic recognition, extraterritoriality, and the construction of agendas for multilateral organizations are all governed by formal or informal understandings; correctly interpreting diplomatic notes, the expulsion of an ambassador, or the movement of military forces in a limited war all require an appreciation of the conventions that relate to these activities.

THINKING ABOUT INTERNATIONAL INSTITUTIONS

The principal thesis of this book is that variations in the institutionalization of world politics exert significant impacts on the behavior of governments. In particular, patterns of cooperation and discord can be understood only in the context of the institutions that help define the meaning and importance of state action. This perspective on international relations, which I call "neoliberal institutionalism," does not assert that states are always highly constrained by international institutions. Nor does it claim that states ignore the effects of their actions on the wealth or power of other states.[1] What I do argue is that state actions depend to a considerable degree on prevailing institutional arrangements, which affect

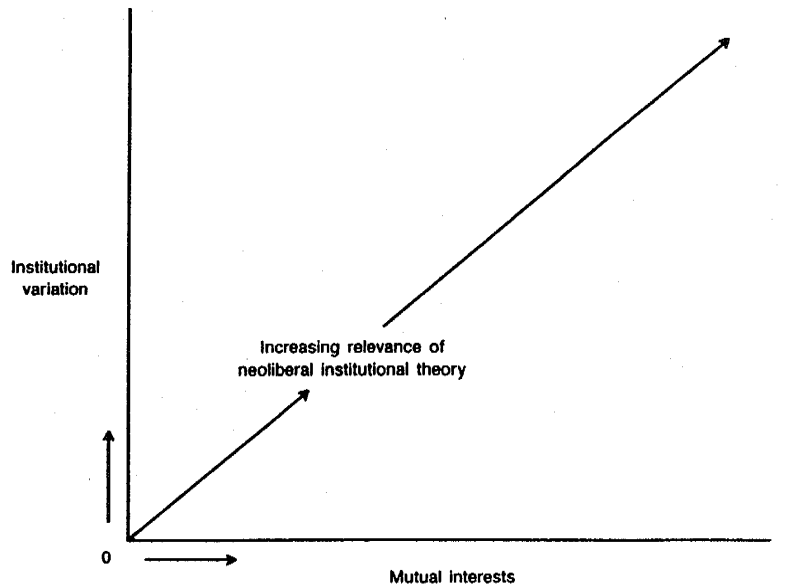
- the flow of information and opportunities to negotiate;
- the ability of governments to monitor others' compliance and to implement their own commitments—hence their ability to make credible commitments in the first place; and
- prevailing expectations about the solidity of international agreements.

Neoliberal institutionalists do not assert that international agreements are easy to make or to keep: indeed, we assume the contrary. What we do claim is that the ability of states to communicate and cooperate depends on human-constructed institutions, which vary historically and across issues, in nature (with respect to the policies they incorporate) and in strength (in terms of the degree to which their rules are clearly specified and routinely obeyed) (Aggarwal, 1985:31). States are at the center of our interpretation of world politics, as they are for realists; but formal and informal rules play a much larger role in the neoliberal than in the realist account.

Neoliberal institutionalism is not a single logically connected deductive theory, any more than is liberalism or neorealism: each is a school of thought that provides a perspective on world politics. Each perspective incorporates a set of distinctive questions and assumptions about the basic units and forces in world politics. Neoliberal institutionalism asks questions about the impact of institutions on state action and about the causes of institutional change; it assumes that states are key actors and examines both the material forces of world politics and the subjective self-understandings of human beings.[2]

The neoliberal institutionalist perspective developed in Part 1 of this volume is relevant to an international system only if two key conditions pertain. First, the actors must have some mutual interests; that is, they must potentially gain from their cooperation. In the absence of mutual interests, the neoliberal perspective on international cooperation would be as irrelevant as a neoclassical theory of international trade in a world without potential gains from trade. The second condition for the relevance of an institutional approach is that variations in the degree of institutionalization exert substantial effects on state behavior. If the institutions of world politics were fixed, once and for all, it would be pointless to emphasize institutional variations to account for variations in actor behavior. There is, however, ample evidence to conclude both that states have mutual interests and that institutionalization is a variable rather than a constant in world politics. Given these conditions, cooperation is possible but depends in part on institutional arrangements. A successful theory of cooperation must therefore take into account the effects of institutions.

FIGURE 1.1
Conditions for operation of neoliberal institutionalism



The two conditions of mutual interest and institutional variation are graphically portrayed in Figure 1.1.

Organizations, Rules, and Conventions

Chapter 7 discusses in detail what I mean by "institutions" and how I think that international institutions should be studied. I define institutions as "persistent and connected sets of rules (formal and informal) that prescribe behavioral roles, constrain activity, and shape expectations." We can think of international institutions, thus defined, as assuming one of three forms:

1. *Formal intergovernmental or cross-national nongovernmental organizations.* Such organizations are purposive entities. They are capable of monitoring activity and of reacting to it, and are deliberately set up and designed by

states. They are bureaucratic organizations, with explicit rules and specific assignments of rules to individuals and groups.[3] Hundreds of intergovernmental organizations exist, both within and outside the United Nations system. Cross-national nongovernmental organizations are also quite numerous.[4]

2. *International regimes.* Regimes are institutions with explicit rules, agreed upon by governments, that pertain to particular sets of issues in international relations. In Oran Young's terminology, they constitute "negotiated orders" (Young, 1983:99). Examples include the international monetary regime established at Bretton Woods in 1944, the Law of the Sea regime set up through United Nations–sponsored negotiations during the 1970s, and the limited arms control regime that exists between the United States and the Soviet Union.[5]

3. *Conventions.* In philosophy and social theory, conventions are informal institutions, with implicit rules and understandings, that shape the expectations of actors. They enable actors to understand one another and, without explicit rules, to coordinate their behavior. Conventions are especially appropriate for situations of coordination, where it is to everyone's interest to behave in a particular way as long as others also do so. More specific contractual solutions—or regimes in the sense used earlier—are necessary to deal with prisoners' dilemma (PD) problems of major significance.[6] But as Russell Hardin emphasizes, conventions do not merely facilitate coordination in pure coordination situations; they also affect actors' incentives. Since nonconformity to the expectations of others entails costs (Hardin, 1982:175), conventions provide some incentive not to defect, even in situations when, without the convention, it would pay to do so. Conventions typically arise as "spontaneous orders," in Young's terminology. Traditional diplomatic immunity was a convention in this sense for centuries before being codified in two formal international agreements during the 1960s.[7] Reciprocity is also a convention: political leaders expect reciprocal treatment, both positive and negative, and are likely to anticipate that they will incur costs if they egregiously violate it—for example, by reacting disproportionately to barriers against their exports imposed by other states.

In thinking about international institutions, it is important to keep conventions in mind and to refrain from limiting one's frame of reference to formal organizations or regimes. Conventions are not only pervasive in world politics but also temporally and logically prior to regimes or formal international organizations. In the absence of conventions, it would be difficult for states to negotiate with one another or even to understand the meaning of each other's actions. Indeed, international regimes depend on the existence of conventions that make such negotiations possible.

Institutionalization in the sense used here can be measured along three dimensions:

- *Commonality.* The degree to which expectations about appropriate behavior and understandings about how to interpret action are shared by participants in the system;

- *Specificity.* The degree to which these expectations are clearly specified in the form of rules;
- *Autonomy.* The extent to which the institution can alter its own rules rather than relying entirely on outside agents to do so.[8]

An imaginary noninstitutionalized international system would lack shared expectations and understandings. Coordination would be impossible even when common interests existed. Policy in a true sense would be unknown, and state interaction would have a random quality. In practice, all international systems of which we have knowledge contain, or quickly acquire, conventions that permit coordination of action and alignment of interpretations of the meaning of action.

Conventions, however, do not necessarily specify rules with any precision. When international regimes are negotiated on the basis of previous conventions, they typically expand and clarify the rules governing the issues concerned. The process by which international regimes develop is therefore a process of increasing institutionalization.

But regimes cannot adapt or transform themselves. In the absence of international organizations, international regimes are entirely the expressions of the interests of constituent states. International organizations, however, evolve partly in response to their interests as organizations and partly in response to the ideas and interests of their leaders; and in this evolution they may also change the nature of the regimes in which they are embedded. Regimes with very clear rules could be more institutionalized than organizations with little autonomy and vague rules; but insofar as rules do not change, the emergence of international organizations indicates an increasing level of institutionalization.

The distinction among conventions, regimes, and organizations is not as clear in actuality as this stylization might seem to imply. Negotiated agreements often combine explicit rules with a penumbra of conventional understandings, which may be more or less ambiguous. Perhaps without exception, international organizations are embedded within international regimes: much of what they do is to monitor, manage, and modify the operation of regimes. Organization and regime may be distinguishable analytically, but in practive they may seem almost coterminous.

The Significance of Institutions

International institutions are important for states' actions in part because they affect the incentives facing states, even if those states' fundamental interests are defined autonomously. International institutions make it possible for states to take actions that would otherwise be inconceivable—for example, turning to the United Nations Secretary-General to mediate between Iran and Iraq, or appealing to nonproliferation rules in justifying a refusal to send nuclear reactor equipment to Pakistan. They also affect the costs associated with alternatives that might have existed independently: rules embodied in U.S.-Soviet arms control treaties increase the costs (especially

for future agreements) of building antiballistic missile systems, and GATT rules on import barriers increase the costs of imposing formal discriminatory quotas on imports. Evasion is often possible, as the innovation of "voluntary export restraints" indicates; but institutions do affect behavior, even if they do not always attain the desired objective.

Yet it would be misleading to limit the significance of institutions to their effects on incentives. Institutions may also affect the understandings that leaders of states have of the roles they should play and their assumptions about others' motivations and perceived self-interests. That is, international institutions have constitutive as well as regulative aspects: they help define how interests are defined and how actions are interpreted.[9] Meanings are communicated by general conventions such those reflecting the principle of reciprocity and by more specific conventions, such as those that indicate what is meant in a diplomatic communiqué by a "full and frank exchange of views." Meanings are also embedded in the rules of international regimes, such as those of the General Agreement on Tariffs and Trade (GATT), which specify and implement the principle of reciprocity.[10]

The constitutive dimension of international institutions raises what Alexander Wendt (1987) has recently described as the "agent-structure problem." To what extent are the agents of international relations, principally states, "constituted" or "generated" by the international system? Wendt points out that it would be impossible to understand "capitalists" as agents without a concept of "capitalism," and he draws an analogy to international relations: "The causal powers of the state . . . are conferred upon it by the domestic and international social structures by virtue of which it is a state in the first place" (Wendt, 1987:360).

It is worthwhile to point out, as Wendt does, that the way in which leaders of states conceptualize their situations is strongly affected by the institutions of international relations: states not only form the international system; they are also shaped by its conventions, particularly by its practices. But this abstractly valid point should not be pushed too far. In modern international relations, the pressures from domestic interests, and those generated by the competitiveness of the state system, exert much stronger effects on state policy than do international institutions, even broadly defined. International "social structures" are manifestly weaker than those of small homogeneous communities or even of modern national societies. Thus, although I accept the "structurationist" advice to be alert to the reciprocal interaction between state and international institutions, I do not wish to be interpreted as accepting the view that the causal impact of international institutions on state policy is as strong as that of states on international institutions.

There is no strict relationship between the degree of institutionalization of an institution and its importance to world politics. In addition to asking questions about institutionalization, we need to inquire about effectiveness, which is not necessarily correlated with institutionalization. Highly institutionalized arrangements can become ossified, encapsulated, or irrelevant.

The International Court of Justice at the Hague, for example, is certainly highly institutionalized but is of relatively modest significance in world politics today. It sometimes serves to articulate and specify conventions or regimes (as it did in the case of the American hostages in Iran), but it is only rarely called upon, and states frequently fail to implement its decisions. Likewise, practices that are not highly institutionalized may be of supreme importance, insofar as they provide the basis for interpretation of action throughout world politics. Sovereign statehood was one such practice even before its rules had been codified. Whether increasing institutionalization leads to greater effectiveness should therefore not be assumed; the issue needs to be addressed with the usual combination of theory (under what conditions does institutionalization increase effectiveness?) and empirical research.

With this clarification of what I mean by international institutions in mind, we can now turn to a comparison between neoliberal institutionalist theory, as exemplified in this volume, and two established schools of thought: contemporary neorealist political theory and liberalism. Neoliberal institutionalism has affinities and disagreements with both.

NEOLIBERAL INSTITUTIONALISM, NEOREALISM, AND LIBERALISM

Labels play a large role in contemporary writing on international relations: Appellations such as "realist," "neorealist," "mercantilist," or "liberal" pervade the literature. These conceptual tags often help to focus issues and stimulate debate, but when they are obsolete or inappropriate, they obscure more than they clarify. My own work, as represented in this volume, has variously been described as "neorealist" and as "liberal," but in my view these labels are misleading descriptions both of my own writings and of works that I regard as intellectually congenial. In this section, accordingly, I will compare neoliberal institutionalism with both neorealism and liberalism, indicating what I see as the affinities and the differences of view between neoliberal institutionalism and these two competing tendencies.

Neoliberal Institutionalism and Neorealism

Contemporary neorealist international political theory, as elegantly outlined in Kenneth Waltz's work, has enhanced our understanding of world politics by clarifying the concept of structure, and by using this concept parsimoniously to account for certain prominent patterns of international political behavior, such as the formation of balances of power. Chapter 3 of this volume analyzes neorealism (there referred to as "Structural Realism") and provides an assessment of its strengths and weaknesses.

Neoliberal institutionalism, as reflected in the essays in this volume, shares some important intellectual commitments with neorealism. Like neorealists, neoliberal institutionalists seek to explain behavioral regularities by examining the nature of the decentralized international system. Neither

neorealists nor neoliberal institutionalists are content with interpreting texts: both sets of theorists believe that there is an international political reality that can be partially understood, even if it will always remain to some extent veiled. Both also believe in trying to test theories, while recognizing that epistemology is also problematical: neither perspective is committed to the naive notion that reality can be objectively known.

Another reason for associating neoliberal institutionalism with neorealism is that both tendencies regard the international system as decentralized and take state power seriously. In the early part of my career I emphasized the significance of nonstate actors—then more often ignored than now. Subsequent research, especially that for *Power and Interdependence* (1977), persuaded me that these actors continue to be subordinate to states, although states may act in nontraditional ways due to changing systemic constraints. So I turned my attention back to states.

Finally, neoliberal institutionalists agree with neorealists that by understanding the structure of an international system, as defined by neorealists, we come to know "a small number of big and important things" (Waltz, 1986:329). As Waltz notes: "to the extent that dynamics of a system limit the freedom of its units, their behavior and the outcomes of their behavior become predictable" (1979:72). This is not to say that they become *perfectly* predictable: "Systems theories explain why different units behave similarly and, despite their variations, produce outcomes that fall within expected ranges. Conversely, theories at the unit level tell us why different units behave differently despite their similar placement in a system" (Waltz, 1979:72). Since no systems theory can be expected to account for the behavior of the units, we also have to look at policies and the exercise of state power—topics that require detailed empirical investigation and historical research.

Yet despite these affinities with neorealism, neoliberal institutionalism should be regarded as a distinct school of thought (Keohane, 1986:25–26, fn. 7). Although neoliberal institutionalists share the neorealists' objective of explaining state behavior insofar as possible through an understanding of the nature of the international system, we find the neorealist conception of structure too narrow and confining. Neorealism can account only for changes that result from shifts in relative state capabilities. Capabilities for Waltz refer principally to the economic resources and productivity of states, on the one hand, and to their military strength on the other (Waltz, 1979:98 and Chs. 7 and 8). Unless the positions of units change relative to one another, the neorealist cannot explain changes in their behavior. Yet, as indicated earlier, I believe that conventions in world politics are as fundamental as the distribution of capabilities among states: indeed, state action in the sense used by neorealists depends on the acceptance of practices such as sovereign statehood (see Chapter 7 of this volume). Thus I accept and generalize John Ruggie's argument that Waltz's conception of structure is unduly truncated, as well as static (Ruggie, 1983). Deeply embedded expectations are as fundamental to world politics as are the power resources of the units.

An implicit version of this appreciation of the role of expectations and conventions in world politics underlay the notion of "complex interdependence" that Nye and I developed in the 1970s, and that increasingly, it still seems to me, characterizes relationships among democratic industrialized countries, though not necessarily elsewhere in the world. The key characteristic of complex interdependence is the well-founded expectation of the inefficacy of the use or threat of force among states—an expectation that helps create support for conventions or regimes delegitimating threats of force. Western Europe, North America, and Japan form a zone of complex interdependence: power is an important element in relationships among these states (as well as between states and nonstate actors), but this power does not derive from the use or threat of force toward one another.[11]

Complex interdependence exemplifies the role of expectations and conventions in world politics—and therefore of institutionalization as defined above. My argument is that neorealism is underspecified because it fails to theorize about variations in the institutional characteristics of world politics. Because neorealists do not properly specify the nature of the international environment, their conclusions about self-help, about reliance on unit-level capabilities, and about sources of shift in patterns of interstate relationships are often wrong or at best misleading. Different international political systems have different degrees of institutionalization. In relatively non-institutionalized systems, the physical capabilities of states are most important: this is presumably what Waltz has in mind when he says of international relations that "authority quickly reduces to a particular expression of capability" (1979:88). But in relatively institutionalized international systems, states may be able to exert influence by drawing on widespread diplomatic norms, on legally institutionalized transnational financial networks, and on those international institutions known as alliances. During the Iran hostage crisis, for instance, the United States found these institutionalized arrangements more valuable in securing the honorable return of the hostages than military force—the archtypical realist capability (Christopher et al., 1985). An adequate understanding of state action in world politics depends on an appreciation of the strengths and weaknesses of institutionalization.

The essays in Part 1 of this volume, which were written between 1980 and 1988, all seek to contribute to our understanding of how and under what conditions world politics become more or less institutionalized. Chapters 3 through 5, written between 1980 and 1983, were part of my own intellectual struggle to come to terms with neorealism. Chapters 3 and 4 make quite a few concessions to neorealist arguments. In particular, Chapter 4, on the theory of hegemonic stability, displays a more positive evaluation of the explanatory power of neorealist theory than do my later writings.[12] Building on the earlier chapters, Chapters 6 and 7 explore the operation of reciprocity and examine the issue of institutional change via a comparison of rational-choice and reflective approaches to this issue.

Neoliberal Institutionalism and Liberalism

Liberalism is sometimes identified as a belief in the superiority of markets to state regulation of an economy. Thus defined, liberalism would be a highly inappropriate label for my work, which stresses the importance of international institutions, constructed by states, in facilitating mutually beneficial policy coordination among governments.[13] Another conception of liberalism associates it with a belief in the value of individual freedom. Although I subscribe to such a belief, this commitment of mine is not particularly relevant to my analysis of international relations. One could believe in the value of individual liberty and remain either a realist or neorealist in one's analysis of world politics.

But liberalism also serves as a set of guiding principles for contemporary social science. As a guide to social scientific thought, it stresses the role of human-created institutions in affecting how aggregations of individuals make collective decisions. It emphasizes the importance of changeable political processes rather than simply of immutable structures, and it rests on a belief in at least the possibility of cumulative progress in human affairs. In this sense, the work presented in this volume indeed reflects a liberal spirit. Institutions change as a result of human action, and the changes in expectations and processes that result can exert profound effects on state behavior.

Consider the way in which international cooperation is viewed by neorealists on the one hand and neoliberal institutionalists on the other. Neorealists and neoliberals agree that world politics lacks stable hierarchy and that, as Waltz (1959:186) puts it, "in anarchy there is no automatic hierarchy." But Waltz also admits that "there is no obvious logical relation" between this proposition and the statement that "among autonomous states *war* is inevitable" (1959:186, Waltz's italics). Neoliberals argue that establishing a necessary logical link between anarchy and war is impossible: any connection that may exist between lack of harmony and warfare will be conditional on the nature of prevailing expectations in the system and, hence, on institutions.

Neorealists declare that "in a condition of anarchy, relative gain is more important than absolute gain" (Waltz, 1959:198) and that "the fundamental goal of states in any relationship is to prevent others from achieving advances in their relative capabilities" (Grieco, 1988:498). These statements do describe, at least roughly, U.S.-Soviet relations since World War II, and they are applicable to many other relationships, such as those between India and Pakistan and between Iran and Iraq. They are also theoretically plausible whenever states expect all others to be hostile and deceptive, and when states' margins of survival are small.[14] But these statements do not accurately describe U.S. policy toward Europe or Japan for at least twenty years after World War II, or the relationships among members of the European Community (EC). And they are theoretically implausible when applied to situations in which substantial mutual gains can be realized through cooperation and in which governments do not expect others to threaten them with force.[15]

Such statements are not false in every case, but they are *conditional* on the nature of prevailing rules and expectations—that is, on international institutions as defined earlier. To understand world politics, we need to know about institutions, not merely about the existence of "anarchy" defined as lack of common government.

This is not to say that neoliberal institutionalism gives us the answer—only that it gets the question right. We need to understand which institutional patterns lead to more rather than less cooperative behavior among states; that is, we need testable conditional statements rather than dogmatic generalizations. Which conventions, regimes, and organizations promote cooperation? Since neoliberal institutionalists share with realists the assumption that leaders of states calculate the costs and benefits of contemplated courses of action, putting the issue in this way implies that we need to ask how institutions affect incentives facing states. Chapter 5, on the "demand" for international regimes, and Chapter 6, on reciprocity, explore issues of cooperation from this perspective.

These disagreements with neorealism may clarify my affinities with liberalism. In a fashion consistent with liberalism, I refuse to assume either unchanging definitions of interest in terms of relative gains or permanent patterns of conflict among states. For me, politics is open-ended and potentially progressive, rather than bleakly cyclical.

Yet my arguments diverge from those of much liberal international political theory. Liberalism in international relations is often thought of exclusively in terms of what I have elsewhere called *republican* and *commercial* liberalism (Keohane, 1989). Republican liberalism argues that republics are more peacefully inclined than despotisms. In its naive version, commercial liberalism argues that commerce leads necessarily to peace. The resulting caricature of liberalism posits the "harmony of interests" so tellingly criticized by E. H. Carr (1946). My own view is that republics are remarkably peaceful toward one another, but republics do not necessarily act peacefully toward nonrepublican states or toward societies not organized as states (Doyle, 1983). I believe that an open international economic environment, characterized by opportunities for mutually rewarding exchange under orderly sets of rules, provides incentives for peaceful behavior, but not that it necessitates or ensures such behavior. That is, cooperation must be distinguished from harmony. Cooperation is not automatic, but requires planning and negotiation. It is a highly political process inasmuch as patterns of behavior must be altered—a process that involves the exercise of influence. And influence is secured not only with the aid of persuasion and prestige but also through the use of resources—principally economic resources under conditions of complex interdependence, and military resources when conflicts of interest are very sharp and uses or threats of force are efficacious.[16] Neoliberal institutionalists accept a version of liberal principles that eschews determinism and that emphasizes the pervasive significance of international institutions without denigrating the role of state power.

SOME SUGGESTIONS FOR RESEARCH

I argued earlier that to understand international politics one must understand international institutions. At the end of its critique of neorealism, Chapter 3 makes a similar point in emphasizing that information, which reduces uncertainty, is both important and variable in world politics; and that one of the major functions of institutions is to retain and transmit information. Chapter 4 inquires into the extent to which patterns of change in postwar international economic regimes can be accounted for by shifts in power, as realists would predict. Chapter 5 uses rationalistic theory to examine the conditions—those of both "supply" and "demand"—underlying the emergence and maintenance of international regimes, and to elucidate some of the functions served by these regimes. Chapter 6 distinguishes between specific and diffuse reciprocity and explores how institutional innovations in international trade negotiations had the effect of combining aspects of both types of reciprocity in a way that facilitated multilateral trade agreements. Finally, Chapter 7 contrasts the rationalistic research program for understanding institutional change with "reflective" arguments stressing the role of human consciousness.

Chronologically, these essays reveal a progressively greater awareness of the importance and complexity of the institutional context of action in world politics. The earliest of them, Chapter 4, written in 1978–1979 and published in 1980, recognizes the importance of context but fails to specify its components or to theorize about institutions. Chapters 3 and 5, published in 1982–1983, are much clearer about the role of institutions in providing information, but the conception of institutions in these essays does not extend to conventions as defined above. The essay on reciprocity (Chapter 6) examines what I would now call the convention of reciprocity, and Chapter 7 argues that specific institutions are embedded in practices, which, as noted, constitute a type of convention. My personal intellectual history (Chapter 2), which was originally written for a collection of autobiographical essays, is designed to shed some light on these changes in emphasis by exploring how my family background, education, and professional roles have affected my perspectives on world politics.

The essays in Part 1 were written to clarify theory rather than to explore empirical or historical issues in depth. Yet theory and research should always be connected. It is misleading and pernicious to believe that the theorist does not have to be concerned with historical facts. Theory without empirical work is, in the long run, as empty as facts without theory. Thus the value of the essays in Part 1—particularly Chapters 3, 5 and 7, which make no empirical contributions—ultimately depends on the use that scholars make of my ideas in order to understand significant issues of world politics.

The essays in Part 2 at least gesture toward the need to use theory to explore history. Chapter 8 was written for a project, coordinated by John Gerard Ruggie, whose original impetus was provided by a question agitating students of the Third World in the late 1970s: could such countries benefit

from dissociating their economics from the advanced countries of the West? Since my knowledge of the Third World was slight, I turned my attention to the antebellum United States experience. My previous work on international independence, rather than any sophisticated understanding of international institutions, provided my conceptual perspective for this essay; but despite its lack of close fit with the institutional emphasis of Part 1, "Associative American Development" at least indicates my interest in combining historical analysis with theoretical inquiry. Chapter 9, a detailed review essay on U.S. oil policy in the 1940s, indicates that despite my preoccupation with systemic theory of late, I have not forgotten the role of private power and corporate interests in foreign policy: policy depends not merely on systemic conditions but on domestic politics as well. Finally, Chapter 10 again emphasizes the impact of domestic politics by showing how U.S. policy during the 1950s permitted the demise of the strategy of hegemonic leadership by failing to ensure the maintenance of U.S. power resources that were essential to its continuation. It provides some background to the current belated debate about the decline of U.S. hegemony.

These essays take us to the threshold of an institutionalist research program. The theoretical chapters explain the need for a neoliberal institutionalist perspective, and the historical chapters illustrate the importance of domestic politics and the limited explanatory impact of system structure. But the link between theory and history is not forged; indeed, all of the historical essays were written before the major theoretical chapters. My 1984 volume, *After Hegemony: Cooperation and Discord in the World Political Economy*, does use institutionalist theory to explore the postwar international political economy in a relatively well-integrated fashion. But it deliberately eschews any attempt either to go more deeply into history or to use the institutionalist framework to analyze security affairs. Both deeper historical research and greater probing of security issues from an institutional standpoint should be on our research agenda.

What are the research implications of taking international institutions seriously? And where should we go next? Even to ask these questions seems to reveal a sort of *hubris:* Why should one scholar seek to define what other people should work on? Rather than sketching out a grandiose plan that no one would follow, therefore, I will simply indicate some general directions that seem to follow from the perspective outlined in this chapter. I will conclude by considering research that might help us to evaluate the comparative merits of neorealist and neoliberal institutionalist theory.

Neoliberal institutionalism calls for renewed attention to international organizations. During the last fifteen years, scholarship has followed policy in denigrating the significance of major international organizations such as the European Community and the United Nations. But despite what one might expect from the absence of literature on these organizations, there seems to be life in both of them. As I write these lines in September 1988, the EC is launching a major program to dismantle internal commercial barriers by 1992, under the Single European Act adopted by the member

governments at the end of 1985. And the secretary-general of the United Nations has during the last few months arranged for the gradual withdrawal of Soviet troops from Afghanistan and for a cease-fire between Iran and Iraq. Both arrangements are to be policed by UN peacekeeping forces, which have just been awarded the Nobel Peace Prize for 1988. International organizations are not central to contemporary world politics, but they are more important than neorealist research has been willing to acknowledge.

Neoliberal institutionalism also insists on the significance of international regimes and the importance of the continued exploration of the conditions under which they emerge and persist. Judging from the literature in international relations journals, this battle has been won in the area of political economy: studies of particular international economic regimes have proliferated.[17] As generally recognized, it is important that domestic politics be taken into account in exploring how regimes operate, how they change, and what impact they have on governments, as Chapter 7 suggests. But we need to carry the investigation of international regimes further into the security area, as a number of authors have begun to do.[18]

The third type of international institution discussed at the beginning of this essay is the convention: an informal institution, with implicit rules and understandings, that shapes the expectations of actors. Conventions change over time, although the pace of change may be slow. To understand the changes in world politics over the course of centuries, we need to understand how conventions change. Otherwise, we are likely either to assume that the past must repeat itself (as realism so often assumes) or to be guilty of anachronism (that is, of reading the premises and values of the present back into the past). John Ruggie's exploration of sovereignty has shown the importance of exploring the premises and patterns of thought of previous generations (Ruggie, 1983), but his suggestive work has not yet been followed by detailed studies of conventions and how they change.[19]

As we understand more about the roles of institutions in world politics, the failure of neorealism to theorize about the causes or effects of institutions will become increasingly noticeable. With respect to issues on which states have substantial mutual interests, neoliberal theories have correctly anticipated that governments would create durable international regimes and organizations, and that the most extensive powers would be given to organizations with relatively few members, in which it would be feasible to monitor compliance with rules. The European Community, the Group of Five in international financial affairs, and the UN Security Council (as compared to the General Assembly) provide cases in point. On issues with substantial mutual interests (world trade is a prominent example), issue-linkages have often facilitated cooperation, as neoliberal theory would predict. It would be useful, as Joseph Grieco has proposed, to undertake systematic comparisons of neorealist and neoliberal theory as applied to the international political economy; there is much evidence to suggest that neoliberalism would be superior as a framework for analysis of these issues.[20]

It has often been assumed that neorealist theory is appropriate for the study of security issues; yet on some security issues, states have substantial

mutual interests that can be realized only through institutionalized cooperation. Consider, for example, the phenomenon of international alliances. Currently, the theoretical literature on alliances views them from a neorealist perspective. According to this literature, alliances result from relations of major antagonism and are formed to supplement the capabilities of the parties (Liska, 1962:14–20; 26–27). They are viewed as fundamentally shaped by the structure of the system, defined in neorealist terms. For instance, Glenn Snyder (1984) argues that NATO's stability is assured by the structure of bipolarity; Robert S. Ross (1986) shows that changes in Sino-American relations have resulted from shifts in the Soviet threat and in the positions of the United States and China in the three-power triangle; and Stephen M. Walt (1987) examines the effects of shifts in capabilities and threats on alignment patterns in the contemporary Middle East. But none of these otherwise perceptive works takes advantage of the fact that alliances are *institutions*, and that both their durability and strength (the degree to which states are committed to alliances, even when costs are entailed) may depend in part on their institutional characteristics. None of them employs theories of institutions to examine the formal and informal rules and conventions on which alliances rely. Thus questions such as the following are not asked:

- Are formal alliances more durable or stronger than alignments based on informal agreements?
- How much difference do executive heads of alliance organizations, and their bureaucracies, make in terms of the durability or strength of alliances?
- To what extent do alliances provide information to their members that facilitates cooperation, therefore contributing to alliance durability or strength?
- Do alliances ever develop norms that are not subject to calculations of interest, and that are therefore genuine normative commitments for participants? If so, under what conditions (domestic as well as international) do such commitments emerge?
- Do open democratic governments find it easier to maintain alliance ties than closed authoritarian regimes?[21]

I believe that a comparison of neorealist interpretations of alliances with a sophisticated neoliberal alternative would show that neoliberal theory provides richer and more novel insights, without sacrificing the valuable arguments of neorealism. Similar conclusions may hold in other security issues, such as those concerning economic sanctions and unilateral versus multilateral arrangements for military procurement.[22] Indeed, the study of security and cooperation, using neoliberal theory, should be highly worthwhile during the next decade.

In comparing neoliberal institutionalism with neorealism, we must understand that neoliberal institutionalism is not simply an alternative to neorealism, but, in fact, claims to subsume it. Under specified conditions—

where mutual interests are low and relative gains are therefore particularly important to states—neoliberal theory expects neorealism to explain elements of state behavior. Thus a success for neorealism is not necessarily a failure for neoliberalism. Yet even under favorable circumstances, neorealism will fail to account for those aspects of behavior that have their source in institutional variation. For example, neorealism's account of alliances is valuable but thin. And under conditions in which concern for relative gain and threats of force are low, neoliberalism expects neorealism to yield false predictions.

During the last several years, debates between neorealists and neoliberal institutionalists have been both extensive and intensive (Keohane, 1986). Indeed, this controversy has now reached the point at which further theoretical controversy is likely to be fruitless: abstract argument must yield to empirical research and evaluation. I expect future research to show that where the predictions of neorealism and neoliberal institutionalism diverge, those of neoliberal institutionalism will be, on the whole, both richer and more accurate. Even in cases where neorealist predictions are essentially correct, attention to institutional variation will often provide additional insights. If these expectations are borne out, writing the essays in this volume will turn out to have been worthwhile.